Law Governing Credit Practice

Course: CCP — Certified Credit Professionals

Level: Level II

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Syllabus version: Based on the standard KASNEB CCP Level II Law Governing Credit Practice syllabus topics — the legal framework for lending, security for credit, guarantees, and debt recovery/insolvency law. Authored from general professional credit-law knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check every statutory reference against the current legislation before the exam, as credit-related statutes are periodically amended.

> **Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. The legal nature of a credit transaction

A **credit transaction** is, at its legal core, a contract — the lender agrees to advance money or goods now in exchange for the borrower's promise to repay (usually with interest/charges) later. Like any contract, it requires offer, acceptance, consideration, an intention to create legal relations, and capacity on both sides. What makes credit law distinctive is the additional body of rules layered on top of ordinary contract law to deal specifically with **default risk** — security, guarantees, and the remedies available if the borrower fails to pay.

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2. Capacity to contract for credit

Not every person or entity has full legal capacity to enter a binding credit agreement:

- **Minors** — generally lack full contractual capacity; credit agreements with a minor are typically voidable at the minor's option, except for contracts for "necessaries" and certain beneficial contracts.
- **Companies** — a company's capacity to borrow is generally governed by its constitution; a lender should check that borrowing (and any security given) is properly authorised by the company's board/constitution.
- **Partnerships** — credit extended to a partnership generally binds all partners jointly, since a partnership is not a separate legal person; a lender should identify all partners and understand each partner's personal exposure.
- **Persons of unsound mind / under undue influence or duress** — a contract entered into without genuine free consent may be voidable; lenders dealing with vulnerable borrowers or guarantors should take care that consent is genuinely informed and freely given.

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3. Security for credit: an overview

Security is a right given to a lender over specific property (or a promise from a third party) to improve the lender's chances of recovering what is owed if the borrower defaults. Security is broadly either:

- **Personal security** — a promise from a third party (a guarantee) to answer for the borrower's debt if the borrower fails to pay; the lender's recourse is against that third party's general assets/personal liability, not against a specific identified asset.
- **Real security** — a right over a specific identified asset (e.g. a charge/mortgage over land, a charge over a vehicle or equipment, a pledge of goods); if the borrower defaults, the

lender can look to that specific asset for repayment (e.g. by seizing and selling it), ahead of the borrower's other, unsecured creditors.

Real security is generally considered stronger than personal security, since it gives the lender a direct claim on a specific asset rather than depending on a third party's continued ability and willingness to pay.

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4. Guarantees

A **guarantee** is a contract in which a third party (the **guarantor**) promises to answer for the debt or default of another (the **principal debtor**) if the principal debtor fails to perform.

Key features:

- The guarantor's liability is generally **secondary/accessory** to the principal debtor's liability — the guarantor is not usually liable unless and until the principal debtor has actually defaulted.
- If the underlying debt is void or unenforceable for some reason, the guarantee is generally void or unenforceable too, since a guarantee cannot exist independent of a valid underlying obligation.
- A guarantee is commonly required, as a matter of law or good practice, to be evidenced in writing and signed, given its serious potential consequences for the guarantor.
- On paying the principal debtor's debt, the guarantor is generally **subrogated** to the lender's rights — meaning the guarantor steps into the lender's shoes and can recover what they paid from the principal debtor.
- A guarantor may be **discharged** (released from liability) in certain circumstances — e.g. if the lender materially varies the terms of the underlying loan without the guarantor's consent, or if the lender releases any security without the guarantor's consent, in a way that prejudices the guarantor's position.

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5. Charges over movable property

Movable (personal) property — vehicles, equipment, stock, receivables — can be used as security through arrangements such as:

- **Chattel mortgage/charge over movable assets** — the borrower retains possession of the asset but grants the lender a registered security interest over it, enforceable against the asset if the borrower defaults.
- **Pledge** — the borrower physically hands over possession of an item (e.g. jewellery, share certificates) to the lender as security, with the lender holding it until the debt is repaid.

- **Assignment of receivables/book debts** — the borrower assigns its right to collect specific debts owed to it by its own customers, to the lender, as security.

Security over movable property commonly needs to be registered on the applicable security/collateral registry to be effective against other creditors and a subsequent liquidator — an unregistered security interest that should have been registered risks losing priority to a later, properly registered claim.

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6. Charges over land (mortgages)

A **mortgage** is security created over land/immovable property. Key features:

- The borrower (mortgagor) retains ownership and possession of the land, while giving the lender (mortgagee) a registered charge over it.
- The charge must be registered against the title to the land to be effective and to give the lender priority over later claims.
- On default, the lender's remedies typically include the power of sale (selling the charged land to recover the debt), appointing a receiver to collect income from the property, or, in some cases, taking possession.
- Where more than one lender holds a charge over the same land, priority between them is generally determined by the order of registration (first registered, first priority), not simply the order the loans were made.

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7. Hire purchase agreements

A **hire purchase agreement** allows a person to acquire the use of goods immediately while paying for them in instalments, with ownership passing to the hirer only once all instalments (including any final "option to purchase" payment) have been paid.

Key features:

- Until the final payment, the goods remain legally owned by the finance company/seller — the hirer only has a right to use them (and an option to eventually buy them).
- If the hirer defaults, the owner generally has a right to repossess the goods, though statutory protections often require formal notice and, once a defined proportion of the price has been paid, may restrict repossession without a court order.
- Hire purchase is distinguished from an ordinary instalment sale, where ownership typically passes to the buyer immediately (or on delivery) even though payment continues over time — this distinction matters for who bears risk of loss and who can repossess on default.

8. Default, remedies, and debt recovery

Once a borrower defaults, a lender's available remedies typically include:

- **Demand for payment** — a formal demand, often a precondition before further legal steps can be taken.
- **Enforcement of security** — realising real security (e.g. selling a mortgaged property or a charged asset) to recover the debt from its proceeds.
- **Calling on a guarantee** — demanding payment from a guarantor once the principal debtor has defaulted.
- **Civil suit for recovery** — suing the borrower (and/or guarantor) for the outstanding debt, leading to a judgment if successful.
- **Execution of judgment** — enforcing an obtained judgment (e.g. attachment and sale of the debtor's other property) if voluntary payment is still not made.

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9. Insolvency and its effect on credit

Where a borrower becomes insolvent (unable to pay debts as they fall due):

- **Secured creditors** generally retain their right to enforce their specific security (e.g. sell the charged asset) largely independent of the general insolvency process, subject to any statutory moratorium that may temporarily suspend enforcement action.
- **Unsecured creditors** rank behind secured creditors and certain preferential claims, and often recover only a fraction (or nothing) of what they are owed once secured and preferential claims are satisfied.
- This is precisely why lenders place such emphasis on obtaining real security wherever possible — it materially improves the lender's position if the borrower later becomes insolvent.

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10. Full worked question — guarantor's liability on default

Scenario. Amani Bank lent KES 2,000,000 to Baraka Traders, a sole proprietorship, for working capital. Wanjiku personally guaranteed the loan in writing, agreeing to pay the bank if Baraka Traders defaulted. Baraka Traders later defaulted, having repaid only KES 800,000 of the principal, with no interest paid. Before pursuing Wanjiku, Amani Bank unilaterally extended Baraka Traders' repayment period by 12 months and increased the interest rate, without informing or seeking Wanjiku's consent.

Required: Advise Wanjiku on whether she remains liable under the guarantee.

Solution:

- A guarantor's liability is accessory to the principal debtor's obligation, but the guarantor's exposure is generally fixed by the **terms of the underlying debt as they stood when the guarantee was given** (or as subsequently varied *with* the guarantor's consent).
- Where the lender **materially varies** the terms of the underlying loan (e.g. extending the repayment period and increasing the interest rate) **without the guarantor's consent**, and that variation could prejudice the guarantor's position (e.g. by increasing the guarantor's ultimate exposure or changing the risk profile of the debt), the guarantor may be **discharged from liability**, in whole or in part, as a result.
- On these facts, Amani Bank's unilateral extension of the repayment period and increase in the interest rate — done without Wanjiku's knowledge or consent — is precisely this kind of material variation.
- **Advice:** Wanjiku has a strong argument that she has been discharged from further liability under the guarantee because of the bank's unauthorised variation of the underlying loan terms. She should formally notify the bank that she considers herself discharged and seek independent legal advice before making any payment.

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11. Practice examination — KASNEB-style paper (original, not a past paper)

> **Note on format.** This section is laid out the way a KASNEB CCP examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CCP LEVEL II — LAW GOVERNING CREDIT PRACTICE (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all reasoning clearly.

QUESTION ONE

(a) Explain the basic elements a credit agreement must have to be a valid, binding contract. *(8 marks)*

(b) Explain TWO categories of persons whose capacity to contract for credit may be limited or qualified, and why. *(8 marks)*

(c) Distinguish between personal security and real security. *(4 marks)*

(Total: 20 marks)

QUESTION TWO

(a) Define a "guarantee," identifying the principal debtor, guarantor, and creditor in a typical arrangement. *(6 marks)*

(b) Explain THREE circumstances in which a guarantor may be discharged from liability. *(9 marks)*

(c) Explain the doctrine of "subrogation" as it applies to a guarantor who has paid the principal debtor's debt. *(5 marks)*

(Total: 20 marks)

QUESTION THREE

(a) Distinguish between a mortgage over land and a charge over movable property. *(8 marks)*

(b) Explain why security over movable property is generally required to be registered. *(6 marks)*

(c) Explain how priority between two lenders holding charges over the same land is generally determined. *(6 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Distinguish between a hire purchase agreement and an ordinary instalment sale. *(8 marks)*

(b) Explain the statutory protections a hirer typically enjoys against repossession under a hire purchase agreement once a significant proportion of the price has been paid. *(6 marks)*

(c) Outline FOUR remedies available to a lender once a borrower has defaulted. *(6 marks)*

(Total: 20 marks)

QUESTION FIVE

Zawadi Sacco lent KES 1,500,000 to Nia Enterprises. Otieno guaranteed the loan in writing. Nia Enterprises defaulted after repaying KES 500,000. Before demanding payment from

Otieno, Zawadi Sacco released, without Otieno's knowledge or consent, a separate piece of security (a charge over Nia Enterprises' delivery van) that had also been held against the same loan.

Required:

(a) Advise Otieno on whether he remains fully liable under the guarantee. *(10 marks)*

(b) Explain the effect of a borrower's insolvency on a secured creditor's position, compared with an unsecured creditor's position. *(10 marks)*

(Total: 20 marks)

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12. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(8 marks)* — Offer, acceptance, consideration, intention to create legal relations, and capacity on both sides — the same elements required for any binding contract, applied to a lender's offer of credit and a borrower's promise to repay.

(b) *(8 marks — 4 marks each, any two)* — Minors (contracts generally voidable at the minor's option, except necessaries); companies (capacity governed by their constitution, borrowing must be properly authorised); partnerships (credit binds all partners jointly since a partnership is not a separate legal person); persons lacking genuine free consent (unsound mind, undue influence, duress — contract may be voidable).

(c) *(4 marks)* — Personal security is a third party's promise to answer for the debt (a guarantee), giving recourse against that person generally. Real security is a right over a specific identified asset, giving the lender a direct claim on that asset ahead of unsecured creditors.

QUESTION TWO

(a) *(6 marks)* — A guarantee is a contract where a third party (guarantor) promises to answer for the debt/default of another (principal debtor) if the principal debtor fails to perform, for the benefit of the creditor (lender).

(b) *(9 marks — 3 marks each, any three)* — The lender materially varies the underlying loan terms without the guarantor's consent; the lender releases security held against the debt without the guarantor's consent, prejudicing the guarantor; the underlying debt itself is void/unenforceable, so the accessory guarantee cannot survive it.

(c) *(5 marks)* — Subrogation means that once a guarantor pays the principal debtor's debt, the guarantor steps into the lender's shoes and can pursue the principal debtor to recover what was paid, using the same rights the lender originally had.

QUESTION THREE

(a) *(8 marks)* — A mortgage is security over land: the mortgagor keeps ownership/possession while the mortgagee holds a registered charge on the title. A charge over movable property covers assets like vehicles/equipment/stock, with the borrower typically retaining possession while the lender holds a registered security interest enforceable on default.

(b) *(6 marks)* — Registration on the applicable security/collateral registry makes the security interest effective against other creditors and a subsequent liquidator; an unregistered interest that should have been registered risks losing priority to a later, properly registered claim.

(c) *(6 marks)* — Priority is generally determined by the order of registration against the title — the first charge registered generally has priority over later-registered charges, regardless of which loan was actually advanced first.

QUESTION FOUR

(a) *(8 marks)* — Under hire purchase, ownership stays with the finance company/seller until all instalments (including any final option-to-purchase payment) are paid; the hirer only has a right to use the goods until then. Under an ordinary instalment sale, ownership typically passes to the buyer immediately/on delivery even though payment continues over time.

(b) *(6 marks)* — Once a defined proportion of the price has been paid, statutory protections often require the owner to obtain a court order before repossessing the goods, and to give the hirer formal notice, rather than repossessing unilaterally.

(c) *(6 marks — any four)* — Formal demand for payment; enforcement of security (selling a mortgaged/charged asset); calling on a guarantee; civil suit for recovery; execution of judgment (attachment and sale of other property).

QUESTION FIVE

(a) *(10 marks)* — Zawadi Sacco released security (the charge over the delivery van) held against the same loan, without Otieno's knowledge or consent. Because this release could prejudice Otieno's position (e.g. by removing an asset that could have reduced the amount he'd otherwise have to pay, or that he could have claimed against via subrogation), Otieno has a strong argument that he is discharged from liability, at least to the extent of the value of the security released, if not entirely — he should formally dispute full liability and seek independent legal advice.

(b) *(10 marks)* — A secured creditor generally retains the right to enforce its specific security largely independent of the general insolvency process (subject to any statutory moratorium), giving it a direct claim on a specific asset. An unsecured creditor ranks behind secured and preferential claims, and typically recovers only a fraction — or nothing — of what is owed once those higher-ranking claims are satisfied, illustrating why lenders prioritise obtaining real security wherever possible.

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13. Exam technique and revision checklist

- Guarantee-discharge questions (like the two worked examples): always identify the *specific act* that could discharge the guarantor (unauthorised variation of terms, unauthorised release of security) and explain *why* it prejudices the guarantor's position — a bare conclusion ("the guarantor is discharged") without that reasoning loses marks.
- Always distinguish personal security (a promise from a person) from real security (a right over a specific asset) at the start of any security-law answer — this framing makes the rest of the answer easier to structure.
- Mortgage/charge priority questions: remember priority generally follows order of *registration*, not order the money was actually lent — a common point of confusion.
- Hire purchase questions: always state clearly *when* ownership passes (only after the final payment/option exercised) — this is the single most tested distinguishing feature of hire purchase.
- Insolvency questions: always contrast secured vs unsecured creditor position directly, rather than describing each in isolation, since "why does security matter" is usually the real point being tested.

Quick revision — one line per topic:

1. A credit transaction is fundamentally a contract, with extra rules layered on to manage default risk.
2. Minors, companies, partnerships, and persons lacking free consent all have qualified/limited contractual capacity.
3. Personal security = a person's promise (guarantee); real security = a right over a specific asset.
4. A guarantor's liability is accessory to the principal debtor's, and can be discharged by unauthorised variation of terms or unauthorised release of security.
5. On paying the debt, a guarantor is subrogated to the lender's rights against the principal debtor.
6. Security over movable property (chattel charges, pledges, assigned receivables) generally needs registration to bind other creditors.
7. Mortgages secure land; priority between competing charges generally follows order of registration.
8. Under hire purchase, ownership passes only after all payments (including any option fee) are made; the hirer has statutory protection against repossession once a set proportion is paid.
9. Lender remedies on default: demand, enforce security, call on guarantee, sue, execute judgment.

10. Secured creditors keep a direct claim on their asset in insolvency; unsecured creditors rank behind them and often recover little or nothing.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and current Kenyan credit/insolvency legislation, and examiner's reports for the paper.